

Table 4: Factor exposure of trend-following reversal strategies (12, 12) I.

This table reports the factor exposure of different sub-portfolios decomposed from TSM and RSM strategies, namely realised winner, realised loser, contrarian winner and contrarian loser. Decomposition method of the 4 sub-portfolios can be seen in Figure 1. The regression coefficients are reported in the first row and t-statistics (***) $p < 0.01$; ** $p < 0.05$; * $p < 0.1$ in the row below. Panel A and B summarise the results of Fama-French three and five factor models, respectively. Small Minus Big (SMB), High Minus Low (HML), Robust Minus Weak (RMW) and Conservative Minus Aggressive (CMA) represent size, value, profitability and investment factors, respectively. The regressions are conducted with the monthly returns that span the period from January, 1985 to March 2015. The alphas of realised winner and contrarian loser are statistically significant at the 1% level in both factor models.

TSM				RSM				
	Realised	Realised	Contrarian	Contrarian	Realised	Realised	Contrarian	Contrarian
	Winner	Loser	Winner	Loser	Winner	Loser	Winner	Loser
Panel A: Fama and French three factors								
Intercept	0.014	-0.001	-0.002	0.016	0.013	0.001	-0.003	0.014
	4.514***	-0.303	-0.736	4.676***	4.400***	0.227	-0.868	3.859***
MSCI	0.485	0.482	0.429	0.260	0.536	0.414	0.422	0.232
	7.008***	6.219***	5.718***	3.447***	7.912***	5.423***	5.425***	2.891***
SMB	-0.238	0.082	-0.004	0.002	-0.247	0.161	-0.122	0.013
	-2.375**	0.731	-0.037	0.018	-2.527**	1.454	-1.081	0.116
HML	-0.298	0.230	0.146	-0.012	-0.286	0.256	0.093	0.012
	-2.781***	1.916*	1.257	-0.100	-2.728***	2.161**	0.769	0.098
R ²	0.156	0.105	0.087	0.035	0.184	0.089	0.080	0.024
Panel B: Fama and French five factors								
Intercept	0.014	-0.001	-0.001	0.012	0.013	0.001	-0.001	0.011
	4.338***	-0.417	-0.170	3.496***	4.164***	0.191	-0.154	2.934***
MSCI	0.489	0.493	0.368	0.380	0.546	0.418	0.340	0.329
	6.598***	5.962***	4.585***	4.796***	7.525***	5.159***	4.100***	3.860***
SMB	-0.207	0.014	-0.106	0.134	-0.203	0.030	-0.195	0.095
	-1.854*	0.109	-0.874	1.117	-1.855*	0.248	-1.558	0.739
HML	-0.279	0.101	0.320	-0.496	-0.275	0.105	0.381	-0.400
	-1.909*	0.620	2.022**	-3.182***	-1.924*	0.660	2.339**	-2.386**
RMW	0.091	-0.163	-0.232	0.439	0.131	-0.292	-0.211	0.310
	0.635	-1.019	-1.490	2.864***	0.931	-1.864*	-1.314	1.881*
CMA	-0.114	0.418	-0.292	0.731	-0.108	0.518	-0.549	0.658
	-0.559	1.837*	-1.320	3.350***	-0.541	2.321**	-2.408**	2.807***
R ²	0.163	0.120	0.096	0.083	0.192	0.116	0.097	0.053